

Chapter 7

Perspectives on Governance



Concepts and models of governance on a global scale are still relatively new to humanity. Initially broached after World War I and only truly implemented after the horrors of a second World War, the institutions and structures that we view today as fundamental to global exchange and global governance are not even a century old.

As the world changes and evolves, these institutions must also change and evolve. Concepts of democracy, morality, meritocracy, and effective governance permeate the discussion surrounding global governance and how the world can work together to create a model that is equitable, stabilizing and sustainable. These efforts and discussion, however, are also punctuated by divisive trends of protectionism, nationalism and the emphasis of security over cooperation.

The issue at the core of the discussion of global governance and how best to manage the world as a whole are the common global issues that we face, none of which a single country can face alone. These range from the fight against global climate change, public health crises like COVID-19 and increasing divergence on the question of how to manage global data flows and technological advances that change the very fabric of daily life.

The articles contained in this chapter explore various perspectives on governance on a global scale, touching on various interpretations of democracy, specifically how China's democracy has evolved and adapted to its own unique situation, and the dichotomy the West is pushing between democracy and autocracy in light of Russia's incursion into Ukraine. They also look at the contrast between the emphasis on security and military assurances as opposed to mutual reliance and mutual economic development as methods to ensure global peace and stability. Finally, they also explore the very institutions and platforms that guarantee the lines of communication stay open and that global powers communicate in effective and constructive ways.

An Increasingly Multilateral Approach to Concepts and Communication

Due to its unique history and in particular its recent revolutionary past, which has been overshadowed by the legacy of the Cold War, China has unfortunately been relegated to the “wrong side of the tracks” by many Western countries despite its continued efforts to implement a form of democracy that it considers most fit for purpose at its current stage of development. In the first article in this chapter, “Chinese Democracy: a Blend of Traditional Wisdom, Innovation”, we shed light on what makes China’s own form of democratic process unique and in some ways an improvement on traditional democratic processes. By incorporating traditional values of meritocracy and modern innovations based on big data and technological innovations, China is capable of ensuring that the voice of the people is heard and that decisions are made in line with their needs despite having significant structural differences to classic Western democracies.

Building on China’s unique development path and how that resonates with other developing countries that are looking for alternatives to the traditional Western liberal democratic model, the second article in this chapter turns to the African continent with a focus on how China and Africa have created a bond that establishes a common connection that is practical and unfettered by colonial histories. “The Evolving Landscape of China-Africa Cooperation” traces China’s efforts in Africa back to before the PRC was a presence on the world stage and how the goodwill that it built with African nations through infrastructure programs and economic development have paid dividends both economically and politically for China.

This trend toward a more multilateral and less Eurocentric world can be seen in the third article in this chapter, titled “A Democracy-Autocracy Divide Will Not Serve Global—or Even Western—Interests”. Mostly in response to Russia’s encroachment on Ukraine’s sovereignty and the shockwaves it sent through Europe, the United States and its European allies have decided to draw a line in the sand on what defines democracy versus autocracy. However, this is a simplistic binary narrative that doesn’t match the messy multipolar reality of today’s world and does not play to the interests of the world or even the West.

The fourth article in this chapter, “From Wars to Global Warming, the World Is Crying Out for Collective Action” sets the stage for the issues that global governance must deal with and the challenges that we face not only as individual nations, but as a global community. In addition to highlighting challenges, the article also suggests ten practical actions that we could take to drive cooperation and prevent the damage that could be caused if these global threats are not dealt with in a timely manner.

Increasingly Multilateral Global Institutions Focusing on Real Issues

With positive moves in the direction of a world that is decidedly more multilateral and pluralistic, it is time to identify some of the major issues that we face as a global community. The next two articles in this chapter focus on the different ways in which countries choose to address a couple of key issues that the world faces today.

Over the past nearly eighty years, the world has developed a very mature international network of coordinating bodies that provide what could be considered the beginnings of a global government, providing a foundation on which global stability and prosperity can be assured.

Institutions like the United Nations, the World Health Organization, and the World Trade Organization, just to name a few, along with global trade agreements and regional organizations, make up the basic architecture of global governance. However, surrounding these are a huge number of smaller non-profit organizations, research centers, think tanks, and forums that provide channels for communication in a number of areas.

It is the purpose of these organizations to drive the global conversation and provide solutions, or at least perspectives, on the very issues that face the global community. Without these conversations, the world would devolve into a state similar to what was seen during the COVID-19 pandemic, during which finger-pointing and accusation dominated the media and domestic discussion.

The next two articles in this chapter focus on the Munich Security Conference. Founded in 1963 at the height of the Cold War, it invited politicians, military personnel, diplomats, and others to work at peace through discussion. Originally dominated by NATO and European participants, the MSC later also included representatives from China, Japan, Russia, and other countries.

The first of these, titled “A Meeting of Transatlantic Minds”, focuses on the most recent MSC and how, while still dominated by a Western narrative, countries like China are providing an important perspective and voice that balance the transatlantic conversation. The next article, titled “The Munich Security Conference, A Platform Gathering More Global Attention”, follows up on this with a focus on the importance of the MSC becoming an increasingly multilateral and less Eurocentric venue for airing views and working toward resolutions on key issues like the Russia-Ukraine war to ensure security and peace in the world.

The penultimate article in this chapter, titled “Three Reasons Foreign Policy Driven by Security Concerns Will Make the World Poorer and More Dangerous”, highlights the potentially negative impact that policy of security alliances in the form of the Quad or AUKUS can have on both a regional and global level. This exclusionist approach, which focuses on conflict instead of cooperation, turns away from open discussions on cooperation in trade or other key global issues and pursues narrow conceptions of national security will not make us safer, but poorer and more susceptible to global threats such as climate change.

Articles focusing on international organizations and their function begin with a suggestion for a response to what has been described as the “oil of the 21st century”—data. In “A World Data Organization Needed to Avoid Rules-Based Disorder”, the argument is made that the world is in danger of falling into compartmentalized management structures in terms of how it manages global data flows. The consequences of this would impact not only the Internet as a whole, but also trade and business, with possibly dire results. The creation of a World Data Organization would help to coordinate among various countries and regional standards to ensure the free and smooth flow of data online.

It is new, emerging issues like climate change, new technologies, and changes in regional power, which did not exist when current institutions were established, that require new and innovative solutions. The more of the world that can be included in conversations, the more perspectives can be expressed that may contain the solutions required to ensure a peaceful, safe, and prosperous world.

Chinese Democracy: a Blend of Traditional Wisdom, Innovation¹

In blending elements of traditional meritocracy and administrative techniques with public and international oversight, China's democratic system continues to evolve to seek the most effective and suitable model for its unique situation.

The Athens Democracy Forum held early this month, featured a dialogue between Jeffrey D. Sachs, director of the Center for Sustainable Development at Columbia University, and myself, Dr. Henry Huiyao Wang of the Center for China and Globalization. Our discussion, titled the "Aristotle-Confucius Dialogue", explored the similarities and differences between Eastern and Western philosophies. In today's rapidly changing world, reflecting on the wisdom of ancient sages is not just an academic exercise, but also an endeavor to find ways to address contemporary global challenges.

Confucius and Aristotle, despite being separated by cultures and thousands of kilometers, share remarkable similarities in their philosophical approaches. Both emphasize the importance of balance and moderation in social order, as evidenced by Confucius's "Doctrine of the Mean" and Aristotle's concept of the "Golden Mean". These ancient thinkers advocated for the cultivation of virtues, and stressed the need for adaptable problem-solving in the face of changing circumstances.

However, their views diverge on political ethics: Confucius prioritizes benevolence and ritual propriety, grounding governance in moral virtue, while Aristotle emphasizes the rule of law to ensure societal justice. In today's world, effective governance draws upon both these traditions, balancing virtue-based leadership with robust legal frameworks.

The intellectual legacy of these ancient philosophers continues to shape the political systems of modern nations, influencing governance, ethics, and social structures. For instance, Confucius's emphasis on harmony resonates in China's projection of itself as a peaceful and cooperative major power, advocating for the resolution of international disputes through dialogue and negotiation.

Domestically, Confucian principles that regard the people as the foundation of a nation and set high moral standards for government officials have contributed to the development of China's unique democratic framework, characterized by "whole-process people's democracy" and consultative democracy.

Chinese-style democracy, evolving amid the influence of traditional values and modern trends, exhibits several distinctive features:

First, China can be described as a meritocratic democracy, emphasizing personal ability and virtue. This aligns with Confucian principles: "The officer, having discharged all his duties, should devote his leisure to learning; the student, having completed his learning, should apply himself to be an officer."

This philosophy manifests in modern China's educational and civil service systems. Every year, more than 13 million students participate in the *gaokao* (college

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entrance examination), with about 12 million gaining admission to higher education institutions and entering the “elite system”. Concurrently, 2 to 3 million candidates compete in the civil service exam, though only about 10 percent clear it to work as civil servants for the central, provincial, or municipal government.

This rigorous selection process creates a system of “voting by examination” for access to public service careers and higher education. Typically, Chinese officials begin their political careers in local governments, from townships to counties to municipalities to provinces and then advance to serve the central government through further performance exams and competitions.

This meritocratic selection and election approach contrasts with Western systems, where politicians often secure votes based on their oratorical skills and popularity. Many times they make false promises and under-deliver. In short, in other countries ministers and officials are not judged after, but before, performance.

Second, the widespread adoption of online platforms has given rise to a form of digital democratic check and balance in China, transforming how citizens oversee civil servants. Gone are the days when Chinese citizens had to physically visit government offices to voice their opinions or provide feedback on officials’ performance. Now, they can engage with their local government anytime and anywhere through hotlines and social media.

A prime example of this is the “12345 Mayor’s Hotline”, implemented in numerous cities, which directly channels citizens’ concerns to local administrative officials.

Furthermore, popular social media platforms such as Weibo and Douyin have become powerful tools for public supervision of officials. Citizens frequently use these platforms to report official misconduct, uploading text, images, and videos as evidence. Such reports often draw significant public attention and support, frequently resulting in appropriate disciplinary actions against the erring officials.

While this form of oversight is not infallible, the proliferation of social media in the age of big data has greatly expanded its reach and effectiveness. This digital and technological approach to democracy with more than 1 billion smartphone users in China is steadily supplanting the traditional model that relied heavily on the oratorical skills and public gatherings in town squares and conventions.

Third, China’s engagement with the global society of democracies subjects it to international scrutiny, an integral aspect of its democratic evolution. In this context, the United States arguably functions as the primary opposition party, with the European Union playing a comparable role.

International media outlets and nongovernmental organizations further contribute to this oversight, offering specialized perspectives on China’s governance. A notable example of this dynamic is China’s response to international criticism of Beijing’s air pollution. The US Embassy’s installation of PM2.5 monitoring equipment to track air quality epitomized this external oversight.

While China initially resisted such foreign scrutiny, it ultimately served as a catalyst for significant environmental improvements. The dramatic improvement in Beijing’s air quality stands as a testament to the effectiveness of such global pressure. This case illustrates the broader principle that we now live in an era of

mutual enhancement, where global interconnectedness drives positive changes across national boundaries.

China's governance system, with roots dating back to the traditional civil service exams, has developed distinct characteristics that combine elements of meritocracy, digital engagement and international accountability to deliver positive results. This approach, shaped by China's specific historical and cultural context, aims to enhance the decision-making process and increase citizens' participation across various sectors of society.

As China navigates its path in the international community, its governance model faces both opportunities and challenges. The ongoing evolution of this system, blending aspects of traditional wisdom with advanced technology, presents a unique case of how countries can find different ways to approach governance in the 21st century.

The Evolving Landscape of China-Africa Cooperation²

The common plight and development experiences of China and African nations have created a unique bond that lasts to the present day. As this cooperation continues to evolve, China and Africa are testing the waters of a new global dynamic emphasizing collaboration and sustainable development.

China-Africa cooperation has evolved significantly in recent decades. From infrastructure projects to economic partnerships and cultural exchanges, this relationship has grown to encompass a wide range of mutually beneficial initiatives. As both regions face global challenges, their collaboration is increasingly shaping international development and governance.

During the 2024 Summit of the Forum on China-Africa Cooperation (FOCAC) held in Beijing, Chinese President Xi Jinping unveiled 10 partnership action plans with Africa. He also proposed elevating the overall characterization of China-Africa relations to an “all-weather China-Africa community with a shared future for the new era.” These governmental and civil exchange activities underscore the potential and vitality of China-Africa cooperation.

The history of China-Africa cooperation dates back to the Ming Dynasty (1368–1644), but following the founding of the People’s Republic of China (PRC), the nature of international cooperation and trade between China and Africa evolved significantly.

In the early years of the PRC, China provided support to Africa while seeking political backing from African nations. Within the limits of its economic capacity, China offered aid to Third World countries, emphasizing unconditional assistance. One of the most iconic projects during this period was the construction of the Tanzania-Zambia Railway in the 1970s. To facilitate this project, the Chinese government provided an interest-free loan of 988 million yuan (about \$400 million) and shipped nearly 1 million tons of equipment and materials. The railway system, known as the “Railway of Freedom,” made significant contributions to the socio-economic development of Tanzania and Zambia, as well as to national liberation movements in Southern Africa. Such projects garnered high praise from Africa and provided China with crucial support during the Cold War, a period when China faced international blockades. This support played a vital role in restoring the PRC’s legitimate seat in the United Nations.

Following the implementation of China’s reform and opening-up policy, the country’s focus shifted toward economic development, leading to remarkable achievements. Consequently, China’s investment in African projects began to reflect some features of its domestic development model. For instance, there was a strong emphasis on infrastructure. Over the past two decades, China, as the largest investor in African infrastructure, has been involved in more than 200 projects across the continent. These include the construction of approximately 30,000 kilometers of highways, 2,000 kilometers of railways, ports with an annual throughput capacity

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exceeding 85 million tons, and more than 30,000 kilometers of power transmission lines. Additionally, Chinese investors in Africa have widely adopted the “industrial park” model that emerged in the early stages of China’s reform and opening-up. By 2021, African nations had built or co-developed 237 industrial parks, with nearly 60 of these planned, constructed or operated by Chinese companies. The success of this model has provided new momentum for industrialization on the African continent.

Moreover, cooperation between China and Africa has expanded into new areas, with green initiatives emerging as a significant focus. Leveraging Africa’s abundant sustainable energy resources and China’s advanced technology, 19 South-South cooperation memorandums of understanding on climate change have been signed between China and 17 African countries. Since 2021, China has participated in the construction of more than 120 African climate projects. This thriving green cooperation is a result of both China and Africa actively seizing opportunities presented by the new wave of technological revolution in clean energy and green development.

The moral dimension of China-Africa cooperation has also evolved in the 21st century. For instance, in late 2008, China deployed naval escort fleets to the Gulf of Aden to ensure the safety of maritime navigation in the region. In 2014, China dispatched medical teams to Liberia to combat the Ebola outbreak. By the end of 2019, China had deployed peacekeeping forces or observers to seven African regions. These actions reflect not only a continuation of the traditional moral responsibility in China-Africa cooperation but also a rare success in public security collaboration within the broader framework of global and regional cooperation.

China-Africa cooperation serves as a significant microcosm of China’s promotion of global and regional cooperation. Africa, a youthful continent with the world’s largest concentration of developing countries, is rich in natural resources and boasts a vast labor force. However, due to the legacy of colonial rule and historical challenges, many African nations continue to face obstacles in converting their valuable resources into economic gains. As the world’s largest developing country, China’s collaboration with Africa not only aligns with global development trends but also reflects China’s responsibility and commitment to helping Africa overcome its developmental challenges.

China is not only strengthening its bilateral cooperation with Africa but also collaborating with countries in the Organisation for Economic Cooperation and Development such as the United States and Japan to assist African nations in resource development. The international community must work together to help Africa achieve sustainable development. This effort also includes maintaining peace and stability across the continent. Key actions include preventing civil wars, such as the conflict in Sudan, and ensuring the security of vital routes like the Red Sea, that could create a stable foundation for Africa’s prosperity and stability.

China’s economic aid to Africa sets a compelling precedent for global cooperation. For instance, China has repeatedly canceled debt for Africa’s least developed countries, relieving their financial burdens. The Forum on China-Africa Cooperation Beijing Action Plan (2025–2027) further strengthens this commitment, pledging 360 billion yuan in financial support over the next three years, including credit lines, various forms of assistance, and direct investment from Chinese companies.

This comprehensive package promises to catalyze industrial development, enhance infrastructure, and boost technological innovation across Africa.

During a seminar co-hosted by the Center for China and Globalization and Development Reimagined, entitled “Reimagining the Current Global Governance System to Work for Africa and Prospects for China-Africa Cooperation” in August 2024, diplomats, representatives of international organizations, think tank experts, and scholars from both China and African nations had discussions and reached a consensus on how China-Africa cooperation could play a more significant role in global governance.

As this partnership evolves, it is set to become a model for South-South collaboration, driving sustainable economic progress and fostering a more equitable global order.

To get the ball rolling, the G3 could start with urgent but less contentious issues. Tackling the current global food security crisis is a promising area to find common ground. These efforts could build on the agreement reached by China and the EU to maintain stability in the global supply chain, including by discussing how to increase transparency and exchange information on the supply of certain critical raw materials and other products.

Amid this summer’s heatwaves, climate change stands out as a clear area for long-term G3 cooperation. China, the EU and the US account for around 40 per cent of global greenhouse gas emissions and consume nearly half the world’s energy.

Together, they have the critical mass to drive the global climate agenda forward and influence economic pathways—and therefore emissions trajectories—far beyond their borders. One area to work on would be developing a common framework for green finance and supporting decarbonisation projects in other countries.

On that note, the G3 could also serve as a forum to achieve some degree of coordination on global infrastructure development between the Belt and Road Initiative, the EU’s Global Gateway and the new Group of Seven Partnership on Global Infrastructure and Investment. If investments under these initiatives are uncoordinated and shaped by geopolitical competition, there is a danger they could lock countries into high-carbon paths for decades to come.

Talking to colleagues in Europe, there was a shared concern over an emerging dynamic that threatens to cleave the world into competing spheres. Getting China, the EU and the US to sit down and talk will take bold efforts in the current climate. But if we want a 21st century that is stable and sustainable, the G3 would be a good place to start.

A Democracy-Autocracy Divide Will Not Serve Global—or Even Western—Interests³

Conflict often serves to galvanize countries and communities, but a neat divide between democracy and autocracy, while convenient, is counter to the interests of today's multipolar world and will only serve to delay efforts to resolve conflict.

National leaders and foreign policy experts gathered in Bavaria last week for the Munich Security Conference, also known as the “Davos for Defense”. Over the years, the event has been a valuable factory for ideas and a barometer for shifts in geopolitics and states' responses to new threats and challenges.

In the early years after it was launched in 1963, the conference focused on the Cold War and nuclear threats and served to project the strength and cohesion of the transatlantic alliance. After the end of the Cold War, the conference agenda widened to cover issues like climate change, terrorism and cyber threats.

It remains a NATO-centric event, but as the balance of power in the world has shifted, representation from emerging powers like China and India has also grown. This includes participation by our think tank, the Center for China and Globalization, which held a side event on China-US relations at this year's event.

In 2020, the last time I attended the conference in person, the theme was “Westlessness”, reflecting an identity crisis in the West amid its declining relative power and fractures in the transatlantic alliance.

At this year's event, which took place amid the fallout from the China-US balloon saga and the war in Ukraine, there was no sense of “Westlessness” to be found. Russian President Vladimir Putin's invasion of Ukraine and hype about the “China threat” have galvanised the West with a new sense of purpose: a grand clash between democracy and autocracy.

The meeting held on the sidelines of the conference between China's top diplomat Wang Yi and US Secretary of State Antony Blinken, while signaling that both sides were moving on from the balloon incident, nevertheless served to highlight the division of the world into two camps.

This dichotomy has come to dominate strategic discussions in the West. It permeates US President Joe Biden's national security strategy and the European Union's Strategic Compass released last year. It is also prominent in the Munich Security Conference report released ahead of the conference, which warned of a growing divide between “competing order[s]”.

Despite the ascendancy of this vision, it is far from clear that framing the world as a competition between democracy and autocracy is the best way to address the complex and evolving threats of our age, even for the interests of Western countries.

First, a simplistic binary narrative doesn't match the messy multipolar reality of today's world. Take the positions that countries have adopted with respect to the war in Ukraine: they often don't align neatly along a democracy-autocracy divide.

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Many democracies have not lined up against Russia; these include India and South Africa, which abstained in UN resolutions against Moscow last year. Conversely, not all autocracies support Russia. The picture on sanctions is also mixed. Singapore has joined the sanctions campaign against Russia, but Israel has not.

As this year's Munich Security Index shows, the framing of democracy versus autocracy doesn't resonate well in many countries, according to a survey of 12,000 people from the G7, China, Brazil, India, South Africa and Ukraine.

For example, people in countries like India and South Africa see "rich versus poor countries" as the main fault line in global politics. Even in G7 countries, the democracy versus autocracy dichotomy is far from dominating the perceptions of citizens.

If the West pushes too hard on framing the world as a competition between democratic and non-democratic states, it risks alienating people who do not see things this way. This includes states destined to play a greater role in global affairs as they gain economic and demographic weight, states which should be encouraged to participate in shaping the international order if we are to keep multilateralism alive.

The second problem with seeing everything through a democracy versus autocracy lens is that it doesn't capture the risks and challenges people are most concerned about.

This year's Munich Security Index records an increase in 20 risk indicators compared to the previous survey, which itself registered significantly higher risk perceptions than in the preceding year. As the authors of the report write, the index reflects a new age in global politics marked by an "omnipresent sense of insecurity".

The aggregate risks people are most concerned about across the 12 countries are overwhelmingly transnational in nature. The top risk is an economic or financial crisis, likely fueled by rampant global inflation.

Climate change, the destruction of natural habitats, and extreme weather and forest fires are the second, third, and fourth highest risks respectively. Energy disruption also ranks high, claiming the top spot in South Africa and the United Kingdom.

These risks are not zero-sum problems; the West cannot deal with them by throwing more resources into escalating competition with non-democratic states. On the contrary, risks related to the global economy, public health and the environment can only be addressed by all nations working together, regardless of their governance system. Geopolitical competition may interact with these threats, but it is not their primary driver.

Political leaders do not agree on much these days, but this year's conference shows they do agree that the international order is at a critical juncture—a moment that German Chancellor Olaf Scholz has famously called *Zeitenwende*, an epochal turning point.

If we are indeed at a historic turning point, the question is: where are we turning to next, and what visions of the international order will shape our future?

Cleaving the world into two opposing camps has simplistic appeal as a rallying cry for the West. But it is a flawed way to understand a 21st century world that is more multipolar and interconnected than ever, not only through economic and cultural links, but also shared challenges like climate change, which calls for all states to work together.

From Wars to Global Warming, the World Is Crying Out for Collective Action⁴

Amid increased geopolitical strife, our interconnected world requires a collaborative approach to climate change, conflict, infrastructure, public health, trade, and more, to safeguard our shared home.

In an era punctuated by escalating geopolitical strife and a burgeoning anti-globalization sentiment, the imperative for international cooperation has vaulted to the forefront of global discourse.

This was the prevailing theme at the recent 8th China Global Think Tank Innovation Forum in Beijing, followed immediately by the European Union-funded EU-China Think Tank Exchange. The sense of urgency for collective action was palpable among the attendees, which included a diverse assemblage of over 100 think-tank representatives from more than 20 countries and regions.

As president of the Center for China and Globalization, which hosted the events with partners including the European Policy Centre, I had the opportunity to propose a framework of cooperation, designed to mend fissures among nations and initiate a united front to safeguard our shared home. Here are the 10 imperatives:

First, climate. The spectre of climate change looms large over humanity, challenging us to transcend mere conversation and take concerted action.

Despite the complex web of industrial policies, subsidies and commitments, particularly those by developed nations to their developing counterparts, the necessity for a collaborative approach to “de-risk” our planet is undeniable. It is incumbent on all nations to foster an environment conducive to finding solutions to this universal menace.

Second, conflict. In the shadow of the wars in the Middle East and Ukraine, the call for peace resonates with an urgency that transcends borders and political divides. The tragedies and suffering in the areas of conflict are stark reminders of the devastating toll of war on the global community.

It is necessary for the international community to champion the cause of peace, to mediate with unwavering resolve and to extend humanitarian aid where it is most needed through any means available, including diplomatic channels, multilateral organisations, and grass-roots movements.

The pursuit of peace must remain a paramount objective, for it is the bedrock on which a stable, prosperous and just world order can be built.

Third, infrastructure. Another domain ripe for cooperation lies in global infrastructure. Infrastructure serves as the backbone of development, particularly in the developing world.

China’s Belt and Road Initiative has catalysed a global movement that is echoed in the construction proposals put forward by the US-led Build Back Better World, Europe’s Global Gateway and the India-Middle East-Europe Economic Corridor.

Such initiatives, collectively supporting the developing world, highlight the imperative for leveraging existing financial platforms and could—and should—work together. Countries and multilateral lenders such as the World Bank and Asian

⁴ First published on November 12, 2023 by SCMP and revised for this collection.

Infrastructure Investment Bank can help bridge the global infrastructure financing gap.

Fourth, digital. In today's digital age, data has emerged as a crucial resource, likened to oil in the 21st century. An open attitude towards the flow of data is essential, but so is the establishment of a coherent global governance framework.

Disparate approaches, exemplified in the EU's General Data Protection Regulation, the California Consumer Privacy Act in the US, and China's Personal Information Protection Law, hinder the potential for digital globalization. A unified regulatory body, perhaps akin to a World Data Organisation, is critical to the harmonising of these disparate policies.

Fifth, public health. The COVID-19 pandemic was a harsh reminder of the pitfalls of insufficient cooperation. Unlike the successful collaboration against the Severe Acute Respiratory Syndrome (SARS) and Ebola outbreaks, the world failed to unite in the face of COVID-19, resulting in widespread catastrophe. This must serve as a lesson to enhance preparedness for future pandemics.

Sixth, institutions. At the core of global governance stands the United Nations, an institution whose authority must be safeguarded. As the second-largest payer of UN dues, China recognises the importance of upholding international law and order as defined by the UN, urging all member states, including the United States, to fulfil their obligations.

Seventh, North-South cooperation. The dynamic between the Global North and South presents an opportunity for China, which straddles both the developed and developing worlds, to serve as a mediator. By fostering greater cooperation in this area, China can help harmonise the interests of both communities, contributing to sustainable global development and governance.

Eighth, finance and trade. The post-1945 era has largely been a testament to the peacekeeping power of international trade and investment. As nations become increasingly interdependent, the imperative to strengthen—not weaken—the World Trade Organization and its mechanisms has grown ever more apparent.

In the realm of international finance, diversifying payment currencies beyond the US dollar, incorporating a greater share of major currencies, such as the euro and yuan, could yield a more balanced global economic framework.

Ninth, people-to-people exchanges. Promoting cultural tourism and international student and scholarly exchanges is another avenue through which nations can foster mutual understanding and respect. Such people-to-people ties are the bedrock of international cooperation and must become and remain the priority of governments after the lifting of COVID-19 restrictions.

Finally, international agreements. The lifting of sanctions and the revival of trade agreements, such as the China-EU Comprehensive Agreement on Investment, are crucial for enhancing economic cooperation and trade relations between nations.

While every country confronts its own set of challenges, the interconnected nature of our modern world necessitates a collaborative approach to our shared problems. Only through collective action can we endeavour to forge a stable, sustainable and prosperous world for future generations.

A Meeting of Transatlantic Minds⁵

While dominated by Europe and the US, the Munich Security Conference has become an increasingly important forum for resolving pressing global issues and China's return to the Conference in 2023 highlighted that fact.

Compared with the cold weather that plagued the 2019 and 2020 Munich Security Conferences (MSC), it was unusually warm outside the Hotel Bayerischer Hof, where the MSC 2023 was set to take place from February 17 to 19.

Nevertheless, when hundreds of people from around the world gathered in the conference hall—the largest-scale meeting of the MSC since the COVID-19 pandemic erupted in early 2020—to discuss topics ranging from war to climate change, they might have felt a slight chill in the air. The then rapidly approaching one-year anniversary of the Russia-Ukraine war and the looming global economic recession foreshadowed an unpleasant year, and few feasible solutions were on the table.

Across the Pond

The MSC used to be a busy annual “transatlantic family meeting” as Western media dubbed it. Debuting in 1963 following the Cuban Missile Crisis, it became a hub for politicians seeking consultation with leaders from the developed world on security policies. MSC 2023 saw dozens of state leaders, including all heads of the Group of Seven, with the exception of US President Joe Biden, who was represented by Vice President Kamala Harris along with some 60 US lawmakers. Ironically, despite the fact that Russia is one of the main actors in at least one of the many ongoing global crises, it failed to send delegates for a second consecutive year.

“How to escalate sanctions against Russia” was an important topic on the conference's agenda, accompanied by a mounting public denunciation of Russia's special military operation. In her speech to the MSC, to add fuel to an already raging social fire, Harris openly accused Russia of “committing war crimes” in Ukraine. German Foreign Minister Annalena Baerbock stuck to a more moderate narrative, saying “the war [would] end tomorrow” if Russia were to withdraw its troops from Ukraine.

Bolstered by a shared mentality, many Western participants tend to view the world from a dual perspective that the world is ruled by democracy and autocracy, which lends the West a strong sense of unity. This good-bad dichotomy, at its best, unifies the West by identifying their “enemies” through ideology; but, at its worst, it signifies how Western-style democracy is seemingly superior to the world's other political systems. Compared with the MSCs I'd participated in 2019 and 2020, it was clear that this dichotomy had become more instrumental in “bridging the Atlantic gap” in 2023.

⁵ First published on March 4, 2023 by *Beijing Review* and revised for this collection.

But democracy hardly matters if the gap is all about market shares and commercial profit. It was unlikely for the EU to overlook their disagreements with the US on certain economic policies, when Christoph Heusgen, Chairman of the MSC since 2022, challenged Harris on the US Inflation Reduction Act that heavily subsidizes American automobile manufacturers in a bid to outcompete their European counterparts. This sense of dissatisfaction demonstrated to me just how important a fair international order, which China has always advocated, is to everyone—great powers included.

China's High-profile Diplomacy

The return of China's official delegation and its think tanks to the MSC this year is another sign that China's diplomatic efforts are returning to normal after the long, grim days of COVID-19.

Unsurprisingly, China has long been one of the main topics of concern at the conference. I can recall an op-ed famously titled *China, China, China!* published by The Washington Post in its coverage of MSC 2020. Reinforced by its dispute over early February's "balloon incident" with the US and China's attitude toward the Ukraine crisis, the reappearance of high-level Chinese representatives at the MSC sparked broad speculation about the country's relationship with the US and the rest of the world. The world's largest and second largest economies seemed to be engaging in a new round of diplomacy, which very well may shape the trajectory of global development in this turbulent age.

The unofficial engagement between Wang Yi, Director of the Office of the Foreign Affairs Commission of the Communist Party of China Central Committee, and US Secretary of State Antony Blinken aimed to ease the lingering frustration about the "balloon incident," a goal they did achieve. Neither China nor the US were looking to waste this valuable opportunity to stabilize the bilateral relationship. Both sides cautiously took a step back and avoided any finger-pointing during the meeting, which will hopefully pave the way for easing tensions and boosting international collaboration on many global issues, including the Ukraine crisis.

China has always been an enthusiastic advocate of multilateralism and takes every opportunity to engage in multilateral diplomacy at the MSC. During these meetings with world leaders, Wang Yi stressed the importance of peace, mutual trust and multilateralism, and strongly opposed unilateralism. For the first time since the outbreak of the Ukraine crisis, Wang had a face-to-face meeting with Ukrainian Foreign Minister Dmytro Kuleba, reiterating China's stance that it is "ready to work with the international community to prevent the situation from worsening and to keep fighting for peace." To back up its words with actions, on February 24, the one-year anniversary of the war, China issued a 12-point proposal for a political settlement to the Ukraine crisis.

With the return of China's delegation, the MSC 2023 demonstrated more diversity, not only in its discussion of global issues but also in its participants and

formats—particularly at its sideline events where nongovernmental stakeholders actively engaged in Track II diplomacy. As an MSC participant, the Center for China and Globalization (CCG), hosted an event themed “Oasis or Mirage: Analyzing China-US Relations on Climate Change”. Drawing on insights of policy advisors and area specialists from China, the US and Europe, it aimed to examine the China-US relationship through the dual lenses of climate diplomacy and broader geopolitical issues.

In recent years, the MSC has become increasingly important for policymakers to collaborate with entrepreneurs to integrate business concerns with general political strategies. In 2019, the first time the CCG was invited to the MSC, Chinese companies and relevant tech issues were central topics at various MSC seminars and the consensus drawn from these debates and discussions to a large extent have been incorporated into industrial policies in the West.

One can hardly say that the three-day conference produced specific, immediate solutions to current international crises and challenges. People met and talked; ideas were presented and discussed; and solutions may surface after reaching a consensus. It may be weeks or months after the conference has ended until we realize something game-changing did happen. For the participants flying in from China, the MSC was not a platform to flex the muscle, but to showcase their determination to address global challenges together with the rest of the world.

The Munich Security Conference, a Platform Gathering More Global Attention⁶

Despite its origins in the Cold War, the MSC remains an important platform for security concerns and with the participation of China and other non-Western attendees, has increasingly gathered global attention.

In its nascent stage, the MSC comprised selected groups from Western political and academic spheres, who convened to discuss matters pertaining to security during the Cold War. Consequently, some referred to it as a family gathering of the West. While the conference's primary focus on security remained unchanged after the Cold War, the breadth of topics and participants expanded significantly, signaling a transition towards a global forum. However, the conference retains some of its earlier traits, particularly its emphasis on Western attendees with high credentials. The conference's discussions are characterized by unparalleled intensity and wield considerable impact on policy making. CNN has aptly described the Munich Security Conference as "the highest-level summit on diplomacy and global security."

This year, not only French President Macron, German Chancellor Scholz, British Prime Minister Rishi Sunak and US Vice President Kamala Harris attended and delivered speeches, but also more than one-third of the members of the US Congress were present, forming the largest delegation of the United States in the history of the MSC, so much so that the former head of the Wilson Center joked that they had enough congresspeople present to conduct their congressional business.

As customary, hundreds of participants convened at Hotel Bayerischer Hof in Munich for a tightly packed three-day session of meetings, featuring high-level interactions. The Munich Security Report provides insightful analyses and appraisals of global security matters from a Western perspective, often serving as a must-read for decision-making.

MSC 2023 saw Western representatives adopt an unyieldingly tough stance against Russia's military actions in Ukraine. US Vice President Harris delivered a speech outlining the United States' perspective on the Russian-Ukrainian war, accusing Russia of committing war crimes in Ukraine, whereas Germany's Foreign Minister Annalena Baerbock said that peace will be possible "tomorrow" if Russia stops bombing and withdraws troops.

China showed a more pragmatic attitude. Wang Yi's meeting with Dmytro Kuleba, Minister of Foreign Affairs of Ukraine, yielded a document titled "China's position on the political settlement of the Ukraine crisis." Beijing insists it is firm in advocating peace and dialogue, and "China's peace plan for Ukraine was greeted cautiously by the West," as The Guardian later reported. But at the same time many in the meeting welcomed China's position and hope China can play a more active role in the resolution of the Russia Ukraine crisis.

⁶ First published on February 22, 2023 by GD Today and revised for this collection.

Owing to the gathering's high-profile participants, it also emerged as a prime opportunity for senior government officials to engage in formal and informal communications.

Wang Yi, Director of the Office of the Central Foreign Affairs Commission of the Communist Party of China, engaged in "informal talks" with the US Secretary of State Antony Blinken, one of the highlights of bilateral interactions during the MSC and speaking to the conference's rising role as a platform. The New York Times referred to that as a "tense meeting," but face-to-face communications are certainly better than not having a meeting and are conducive to finding understanding between the world's two largest economies. The US State Department press release also expressed its interests in continued dialogue with China.

China has become an indispensable participant and a core topic in recent years at the MSC. For example, in 2020, there were as many as 11 side events explicitly involving China. At that 2020 MSC meeting, then-State Councilor and Foreign Minister Wang Yi refuted then-US Secretary of State Mike Pompeo's accusations against China.

French President Emmanuel Macron is expected to visit China shortly, and Chinese and US Presidents could meet again this year after a summit in Bali, Indonesia. Wang Yi's whirlwind diplomacy before, during, and after the MSC laid the foundation for China's diplomatic activities going ahead.

Remnants of stereotypical thinking from the West continue to persist. For instance, the Munich Security Index 2023 employed the "crisis of democracy" as a benchmark, illustrating the democracy versus autocracy divide that dominates the Western discourse. However, this polarization fails to resonate. Leaders in several Middle Eastern countries find it challenging to navigate this dichotomy and are reluctant to choose sides. During a side event, a representative from Singapore noted that this simplistic classification falls short in capturing the intricacies of governmental systems, urging a more inclusive approach. Many representatives expressed the hope that China would take a more vocal stance on this topic.

The presence of Chinese delegates at such events serves to provide a balance to Western speakers, leading to a more rational and objective discourse. At a side event focused on the topic of "democracy and autocracy," we responded to Western criticisms, and although there were only a handful of Chinese delegates present at the MSC this year, they played a significant role in ensuring diversity of perspectives.

The MSC also serves as a platform for China to facilitate détente and dialogue among major powers. The Center for China and Globalization (CCG) actively participated in various side events during the conference, where we conveyed China's policies, positions, and views from a civil society perspective.

The weather in Munich also lent added credence to the CCG side event on China-US climate cooperation, where friends old and new were invited. One notable quote came from Professor Graham Allison, the Founding Dean of Harvard University's Kennedy School of Government, who emphasized that China-US relations should not be solely defined by competition, but also by cooperation. He emphasized that the degree of emphasis on cooperation between China and the United States should

be no less than that of competition. Such a view, if recognized by US elites, could have a positive impact on bilateral relations

The impact of the Munich Security Conference on Western policymaking remains as potent as ever. An acquaintance of mine, a United Nations official who attended the meeting, revealed that he feels compelled to attend each year because many of the voices and insights he hears are incorporated into policies six months later. A clear example of this is that after the intense discussions of Chinese tech companies at a previous MSC, many Western nations implemented corresponding policies regarding these issues.

China needs to accord greater significance to this platform, not only to foster communication and dialogue, dispel misconceptions, and achieve consensus, but also to proffer Chinese solutions and proposals, and to strive to optimize the interests of all parties from a pragmatic standpoint.

Three Reasons Foreign Policy Driven by Security Concerns Will Make the World Poorer and More Dangerous⁷

When security concerns dominate policymaking, the world only becomes more fragmented. We must prioritize economic cooperation to ensure a world that is peaceful, prosperous and better equipped to deal with global issues.

It is hard to escape the feeling that we are at a decisive moment in history that will determine the future for a long time to come. Our world is riven by the COVID-19 pandemic, great power rivalry and now the war in Ukraine.

Challenges are multiplying as economic recovery sputters, the rate of technological change accelerates, and global threats such as climate change intensify. Multilateralism is in disarray and the old world order is dying, but a new one is yet to be born.

Will the new world that emerges from this tumult be prosperous and peaceful? Will we be able to cooperate and manage global challenges, or will globalization and the international order that supports it collapse?

In 1945, architects of the post-war order such as US President Harry Truman and Secretary of State Dean Acheson pondered similar questions as they surveyed a world destroyed by two global conflicts. A decade earlier, the Great Depression brought a vicious spiral of protectionism, economic hardship and nationalism that crippled global trade and sowed the seeds of war.

These leaders knew they had to prevent that cycle from repeating. They launched the Marshall Plan to rebuild European economies and formed the International Monetary Fund, World Bank and what would eventually become the World Trade Organization (WTO). Together, these institutions provided a framework for long-term economic cooperation that fed a virtuous cycle of openness, trade, prosperity and stability.

Economic cooperation was the foundation of the recovery from World War II, and it also helped us rebuild from the 2008 global financial crisis. Unfortunately, as we begin to emerge from the pandemic, current trends more closely resemble the isolationist 1930s than the post-World War II period.

The market integration that began in 1945 and spread after the Cold War is waning. Security is overtaking economics as the driving force behind international cooperation, especially after Russia's invasion of Ukraine.

The securitisation of foreign policy is perhaps most evident in the United States. Since former US President Donald Trump crippled the WTO and withdrew the US from the Trans-Pacific Partnership, Washington has focused on strengthening military alliances and forging new security arrangements such as the Quad and AUKUS.

Russian President Vladimir Putin's invasion of Ukraine has caused a sea change in foreign policy across Europe. The European Union plans to create a rapid deployment force, and countries are abandoning long-held taboos. Germany is increasing its military spending, and Finland and Sweden are moving towards joining NATO.

⁷ First published on May 19, 2022 by SCMP and revised for this collection.

The picture is more mixed in Asia. The region has become a focus of economic multilateralism, but at the same time, security concerns are rising.

The Quad is becoming more active, and the incoming administration in South Korea has expressed interest in joining. In Japan, some conservatives are pushing to revise the constitution and abandon pacifism. Meanwhile, China confirmed it had signed a security agreement with the Solomon Islands. Military spending is on the rise across Asia, growing by almost 50 per cent between 2010 and 2020.

The past two years have shown how vulnerable we are to supply chain disruptions. Shifting priorities from efficiency to resilience and security is understandable and desirable, but now there is a danger that the pendulum will swing to the other extreme.

Countries might withdraw from globalization, only trading with small groups of allies or even retreating into autarchy. Turning away from free trade and pursuing narrow conceptions of national security in dealing with other nations will not make us safer. Instead, it will make the world more dangerous, poorer and more prone to global threats such as climate change.

First, history suggests new security arrangements could have a destabilising effect by creating a security dilemma. One state's actions to enhance its security, such as forming a new alliance, could make others feel less secure. This could trigger countermeasures and a spiral of mutual suspicion, leaving the original state less secure.

This dynamic emerged in the years leading up to World War I. European countries forged alliances to enhance their security, but became what Henry Kissinger called a "diplomatic doomsday machine", allowing the assassination of Archduke Franz Ferdinand of Austria to ignite a deadly global conflict.

As new security initiatives create risk, curtailing free trade and investment also weakens the benefits of these linkages. Putin's invasion shows economic cooperation doesn't prevent war, but it can still be a force for stability by linking countries' interests and humanising trade partners.

Second, turning inward will stifle growth and innovation at a time when the global economy is already under severe strain from inflation, supply chain disruptions and the war in Ukraine. This risks tipping billions of people into poverty, destitution and hunger.

Prices will only go higher if we reconfigure supply chains for security rather than efficiency. As a recent report points out, the way to make supply chains more resilient is by more diversification, not less.

Finally, turning our focus from economic cooperation to traditional security concerns will hurt our collective ability to address global threats. Progress on developing solutions will falter if US and European scientists collaborate less with their Chinese and Russian counterparts. Our ability to implement joint solutions will also suffer if global cohesion and governance mechanisms are further weakened.

World leaders must recognise these risks and their power to shape the kind of world that emerges from the pandemic and the war in Ukraine. We must not allow security concerns to dominate policymaking and make our world more fragmented and militarized.

Instead, we must find ways to ensure economic cooperation thrives so we can build a world that, even if divided, is peaceful, prosperous and better protected from planetary disasters.

A World Data Organization Needed to Avoid Rules-Based Disorder⁸

A “Bretton Woods for data” moment could pave the way for an institution to set rules on data governance and create a workable framework to govern digital matters and disputes.

At a time when the economic outlook is bleak, the digital economy is a rare bright spot in the prospects of global growth. It now accounts for 15.5 per cent of the global gross domestic product. Over the next decade, it is expected that 70 per cent of new value created in the economy will be based on digitally enabled platform business models.

Monthly global data traffic soared during the pandemic and is forecast to reach 780 exabytes by 2026, up more than three-fold from 2020. Meanwhile, an estimated half a million new users connect to the internet each day.

By July 2021, the number of countries with rules on data localisation had risen to 62 from 35 in 2017, while the total number of measures in force had more than doubled to 144. Many more countries, such as India and Vietnam, are on the cusp of adopting sweeping new data protection legislation.

The European Union is moving towards a new law that will apply to all data generated there, building on the General Data Protection Regulation, which applies to personal data. China is currently drafting more regulations on the handling of data after new laws on data security and privacy came into force last year.

Cross-border data flows are fast becoming a new sphere for geopolitical rivalry. In May, it was reported that the US, Japan, South Korea, and four other Asia-Pacific Economic Cooperation members have agreed to set up personal data transfer rules independent of the regional forum’s current framework in order to exclude China and Russia.

Standards for cross-border data transfer will be a core aspect of the “connected economy” pillar of the Indo-Pacific Economic Framework (IPEF), which also excludes China and several other Asian countries.

The politicisation and divergence of data governance regimes threaten to create a “spaghetti bowl” of incompatible systems that reduces trade, slows productivity, and stifles innovation. These barriers will increase complexity, uncertainty, and costs for businesses, especially for smaller firms, which will find it harder to access global supply chains.

As data plays an ever-greater role in our lives and in all spheres of economic activity, the fragmentation of our global technological system will also weaken the economic, social, and cultural links between nations, making confrontation more likely.

Some regional agreements have begun to forge common standards for regulating data transfer in a rules-based way that minimizes barriers to trade. These include the Comprehensive and Progressive Agreement for Trans-Pacific Partnership and the Digital Economy Partnership Agreement between Singapore, Chile and New

⁸ First published on June 8, 2022 by SCMP and revised for this collection.

Zealand. However, arrangements that include a small group of countries will only take us so far, especially if they are only open to select invitees such as the IPEF.

What's really needed is an international conclave to rethink our global institutions for a world of data—what former UK information commissioner Elizabeth Denham called a “Bretton Woods for data”.

The original Bretton Woods conference in 1944 facilitated the creation of global institutions that provided a stable framework for cooperation in a world economy based on the open trade of tangible goods. However, these post-war institutions have hardly changed since the 1990s, while the intangible economy has become exponentially larger and more complex. In effect, the world is trying to run a 21st-century, cloud-based economy on the equivalent of Windows 95.

We now need a new global governance framework for the data-driven economy, including robust mechanisms to support open data flows and manage the far-reaching impacts of digital technology.

A good place to start would be to upgrade existing institutions for the data age. The World Trade Organization Ministerial Conference in June is a chance to speed up e-commerce negotiations to set global ground rules and exceptions for data.

The Digital Economy Working Group under the G20, which held its first meeting in March, is a welcome addition and should accelerate the coordination of data policies between members of the group.

Beyond this, there is a good case for creating an entirely new institution, a kind of “World Data Organisation” solely focused on the digital economy. Its top priority would be to set rules of the road on data governance and create a workable framework to govern digital matters and resolve disputes.

Of course, forging such a resolve consensus would be hugely challenging, especially in the current geopolitical climate. Different countries have different ideas, laws, and values when it comes to data governance. They must be allowed the flexibility to domestically manage the social, political and security consequences of emerging technologies. But a body like the World Data Organisation could at least provide a platform for cooperation in keeping data barriers low and ensuring interoperability between different regulatory systems.

The Bretton Woods conference was a pivotal moment in establishing an open system of rules-based trade that helped the global economy recover from the ravages of World War II. The global economy is now struggling to get back on its feet after being hard hit by the pandemic.

It is time for a “Bretton Woods for data” to haul our multilateral trade rules into the 21st century and stem the tide of digital protectionism so that data flows can be a source of growth and opportunity, not discord.

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Part II

Geopolitics and Multilateralism: Finding a Salient Solution to Geopolitical Tension

In a world that has become exponentially smaller, connected by technology that enables instant communication, conflict and tension has intensified in an increasingly multipolar world. This, combined with both the benefits and challenges of globalization, creates a geopolitical atmosphere that is complex and constantly in flux. In this multilateral context, it is the prerogative of responsible nations to find salient solutions to the problems that face the world.